

rather than owning them? (That is, *speculating*.) If you understand how the odds in gambling diminish your chances of winning—whether in the lottery, in Las Vegas, at the racetrack, or on Wall Street—your decision as to whether to be a speculator or an investor isn't even a close one.

Speculation Is in the Driver's Seat

Despite the elementary mathematics that guarantee the superiority of investment over speculation, today we live in the most speculative age in history. When I first came into the financial field in 1951, the annual rate of turnover of stocks was running at about 25 percent.⁶ It would remain in that low range for the better part of two decades, then gradually rise to above 100 percent in 1998, approaching the record 143 percent turnover rate of the late 1920s. Yet by last year, stock turnover had shot up another two times over. Turnover soared to 215 percent, and to 284 percent if we add in the staggering amount of speculation in exchange-traded funds (ETFs).

Consider a stark example of one of the new financial instruments that typifies the dramatic upsurge in speculation. In 1955, when the total market capitalization of the S&P 500 Index was \$220 billion, neither futures nor options that would enable market participants to speculate on (or hedge against) the price of the index even existed. Then index futures and options were created—a marketing bonanza for the financial field. These new products made it easy not only to bet on the market, but to leverage your bets as well. By the beginning of 2008, the value of these derivatives of the S&P 500 Index—these futures and options—totaled \$29 trillion, more than *double* the \$13 trillion market value of the S&P 500 Index itself. That expectations market, then, would be at least double the value of the real market, even if the high turnover activity in the S&P 500 Index stocks themselves were not dominated, as it is, by speculative trading.

A simple example demonstrates that speculation is a loser's game. Assume that one-half of the shares of each of the 500 S&P